

likely to lead to results that are vastly superior to the broad indexes.

I'm a big fan of David Swensen, who manages the \$15 billion Yale endowment. He's been at Yale for two decades and has delivered an annualized return of 16.1 percent over that period (compared to 12.3 percent for the S&P 500 Index).² Using a very atypical approach to asset allocation, he moved Yale almost entirely out of bonds 20 years ago and mainly into private equity, venture capital, hedge funds, and concentrated value funds like Chieftain.

Swenson observed, for example, there just wasn't much difference in performance between the best- and worstperforming bond fund. But there were huge differences in the performance of the top- and bottom-performing venture capital and private equity funds.³ There isn't much of a payback from being in a top-performing bond fund, but there are huge benefits from investing in the best venture capitalists like Kleiner Perkins or Sequoia compared to some bottom quartile firm. He leveraged the Yale brand to get into the very best of these funds very early—yielding excellent results for Yale.

I enjoyed reading Swensen's most recent book, *Unconventional Success: A Fundamental Approach to Personal Investment*.⁴ The book is written for the individual investor, but it was very surprising for me to read Swensen's thesis: stick to investing in the indexes. His take is that active investing can work wonders, but for a very small cadre of great managers. It is not for the investing public. Effectively, Swensen is saying do as I say, not as I do. I don't entirely disagree with Swensen, but we can improve dramatically on Swensen's recommendations and do vastly better.

Another book that came out a few months after Swensen's tome is Joel Greenblatt's *The Little Book That Beats the Market*. I enjoyed the book immensely and strongly recommend reading it. Joel Greenblatt is one of the best value investors of our time. He is an unassuming 40-something who, over the past 20 years, has generated an annualized return of 40 percent. That is a staggering number. For the first 10 years, Greenblatt's annualized performance was even better—50 percent annualized.